condition on which it may think joining an Alliance forming the Central Government in the post-2014 times. Recently, the matter has been included by the GoI in the *Union Budget 2013-14* and the government has conveyed that it is 'considering such a status for Bihar' – whatever be the complusions/realities of the contemporary real politik, hereby, let us try to understanding the idea of the ESCS.

The Special Category States (SCS) have some common characteristics like international boundary, hilly landscape, geographic and socio-economic backwardness with low capability to generate adequate income from available resources etc. Presently, 11 states come under this category- seven States of North-Eastern region, Sikkim, Jammu & Kashmir, Himachal Pradesh and Uttarakhand. Other states are referred as *General Category States (GCS).* They are 'special' in the sense that they have special socio-economic, geographical problems, high cost of production with less availability of useful resources and hence low economic base for livelihood activities.

Fiscal Position of the SCS: The SCS are highly dependent on central grants from the Union Government for meeting their financial requirements. These states show a revenue surplus position because any 'expenditure that they make on creating assets out of grants from the Centre is not treated as revenue expenditure'. This is *contrary* to the existing accounting standards which treats all expenditure from grants as revenue expenditure.

Manipur, Nagaland, Sikkim and Uttarakhand have a fiscal deficit which is higher than 3 per cent but less than 6 per cent) of their GSDP and the *13th Finance Commission* has indicated that they have to make efforts to reduce the fiscal deficit to 3 per cent by ***2013-14***. Jammu and Kashmir and Mizoram have higher fiscal deficits and require concerted efforts at reducing their debt stock to achieve targets set by the 13th Finance Commission. The other states Arunachal, Meghalaya, Assam, Tripura and Himachal pradesh have a fiscal deficit which is less than 3 per cent of GSDP and therefore need to maintain their position to achieve the targets set out by the 13th Finance Commission.

Although the 12th Finance Commission recommended that all states (including SCS) should be permitted to borrow from the open market at